

Vendor Risk Management & Procurement Standards

Corporate Governance Policy Manual | Document Ref: **VRM-POL-09** | Version 3.4

Section 1.1: Mandatory Audit and Inspection Rights

The Company, or its designated independent certified public accounting firm, reserves the unrestricted right to conduct an annual on-site or virtual audit of vendor facilities, security controls, and operational infrastructure with ten (10) business days prior notice. Vendors must provide annual SOC 2 Type II or ISO 27001:2022 audit reports upon request.

Section 2.2: Limitation of Liability Exceptions and Breach Caps

Standard contract terms must prohibit aggregate liability caps that apply to data privacy breaches, unauthorized disclosure of confidential information, intellectual property infringement, or gross negligence. Liability for data breach indemnification must remain uncapped or capped at not less than 5x annual contract value.

Section 3.1: Invoicing and Payment Schedule Standards

All vendor invoicing terms must strictly provide for payment within net-thirty (30) calendar days following receipt of an undisputed, valid invoice. Extended payment terms, including net-60, net-90, or unilateral late fee charges exceeding statutory limits, are non-compliant without CFO approval.